

• THE AR MASTERY GUIDE

Master Accounts Receivable

Everything that makes a great AR operator — the metrics, the psychology, the dunning strategy, and the playbook to cut DSO. Read this once and you'll understand AR better than most CFOs.

From the team at DataByt · The discipline behind the software · databyt.in

What You'll Master

1 · Why AR Is the Hidden Killer	Cash vs profit
2 · The AR Lifecycle	Order → cash
3 · The 7 Metrics That Matter	Formulas + benchmarks
4 · Reading AR Aging Like a Pro	The buckets
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1 • Why AR Is the Hidden Killer

82% of businesses that fail were profitable. They didn't run out of customers — they ran out of cash. Accounts Receivable is where that cash gets trapped.

Profit is an opinion. Cash is a fact.

When you deliver work and send an invoice, accounting calls it **revenue** — immediately. But you don't have the money yet. That gap, between "earned" and "collected," is **Accounts Receivable**: money owed to you but not yet in your bank.

A business can be highly profitable on paper and still:

- Miss payroll
- Delay paying its own suppliers
- Turn down growth because there's no cash to fund it

...all because too much money is sitting in AR instead of the bank.

The core truth of AR: Revenue you can't collect isn't revenue. It's a promise. And promises don't make payroll.

Why it's "hidden"

Sales is celebrated. Collections is invisible — until cash runs short. Most companies obsess over winning the next deal and ignore collecting the deals they've already won. Mastering AR means collecting cash you've *already earned* — no new sales required. It's the highest-ROI lever in finance, and almost nobody pulls it deliberately.

2 · The AR Lifecycle

Every invoice travels the same path. Master AR = control every stage of this journey.

- 1 Sale / delivery** — you deliver the product or service.
- 2 Invoice issued** — you bill the customer with payment terms (e.g. Net 30 = due in 30 days).
- 3 Current** — the invoice is outstanding but not yet due. Healthy.
- 4 Overdue** — the due date passes. The clock starts. Risk rises every day.
- 5 Collections (dunning)** — you chase: reminders escalate in tone over time.
- 6 Resolution** — either **Paid** (cash in bank), **Disputed** (paused while contested), or — worst case — **Bad Debt** (written off as uncollectable).

Payment terms you must know

Term	Meaning
Net 30 / 60 / 90	Payment due 30 / 60 / 90 days after invoice date
Due on receipt	Payment expected immediately
2/10 Net 30	2% discount if paid within 10 days, otherwise full amount due in 30 (an "early-payment discount")

Master move: Shorter terms = faster cash. If your standard is Net 60, test moving new contracts to Net 30. The single fastest structural DSO improvement.

3 • The 7 Metrics That Matter

If you learn nothing else, learn these. Each one is a lens on a different part of your AR health.

1. DSO — Days Sales Outstanding

The single most important AR metric. The average number of days it takes to collect payment after a sale.

FORMULA

$$\text{DSO} = (\text{Accounts Receivable} \div \text{Total Credit Sales}) \times \text{Number of Days}$$

Example: \$500K AR ÷ \$2M quarterly sales × 90 days = 22.5 days DSO

Benchmark: Under 45 days is healthy for most B2B. Lower is better. Rising DSO = cash collection is slowing.

2. Best Possible DSO (BPDSO)

What your DSO would be if every customer paid exactly on time. The gap between DSO and BPDSO is your real collections problem.

FORMULA

$$\text{BPDSO} = (\text{Current AR} \div \text{Total Credit Sales}) \times \text{Days}$$

If DSO is 45 but BPDSO is 30, you have 15 days of pure late-payment drag to fix.

3. CEI — Collection Effectiveness Index

Of the money you *could* have collected this period, how much you actually did. Better than DSO because it isn't distorted by sales swings — it's pure collections performance.

FORMULA

$$\text{CEI} = (\text{Collected} \div \text{Collectible}) \times 100$$

Collectible = beginning AR + credit sales – ending total AR. Target: 80%+.

4. ADD — Average Days Delinquent

Across only your *overdue* invoices, how late they are on average. Rising ADD means customers are learning they can pay you late without consequence.

FORMULA

$$\text{ADD} = \text{DSO} - \text{Best Possible DSO}$$

A clean way to isolate the "lateness" portion of your DSO.

5. Overdue % of AR

What share of your total receivables is past due. The fastest single signal of trouble.

FORMULA

$$\text{Overdue \%} = (\text{Overdue AR} \div \text{Total AR}) \times 100$$

Under 30% = manageable. Above 50% = your collections process is failing.

6. AR Turnover Ratio

How many times per year you collect your average receivables. Higher = you collect faster and more often.

FORMULA

$$\text{AR Turnover} = \text{Net Credit Sales} \div \text{Average Accounts Receivable}$$

A turnover of 12 means you collect your full AR roughly once a month.

7. Bad Debt Ratio

The share of receivables you'll never collect. Pure lost profit.

FORMULA

$$\text{Bad Debt Ratio} = (\text{Bad Debt} \div \text{Total Credit Sales}) \times 100$$

Keep under 1.5%. Every point above is money you earned but never banked.

How a master reads them together: DSO tells you "how long." CEI tells you "how well." Overdue % tells you "how urgent." Watch the *trend* of all three. If DSO rises while CEI falls — act now, before it hits your cash.

4 • Reading AR Aging Like a Pro

The AR aging report buckets every unpaid invoice by how overdue it is. It's the X-ray of your receivables.

Bucket	What it signals	Action
Current	Healthy, not yet due	Monitor
1–30 days	Recently late — usually an oversight	Friendly reminder (L1)
31–60 days	A pattern is forming	Firm follow-up (L2)
61–90 days	High risk of non-payment	Final notice (L3), call them
90+ days	Likely heading to bad debt	Escalate / payment plan / collections

How a master reads it

- **Watch the right side.** Money drifting into 60+ buckets is your early warning. Healthy AR is weighted toward Current and 1–30.
- **Concentration risk.** If one customer is most of your 90+ bucket, that's a single point of failure. Diversify or de-risk them.
- **The 90-day cliff.** The probability of collecting drops sharply after 90 days. Roughly: ~90% collectable at 30 days, ~70% at 60, ~50% at 90, far less beyond. **Speed of chasing is everything.**

The #1 lesson of aging: An invoice chased on day 5 is worth far more than the same invoice chased on day 50. Time kills collectability. Automate early, consistent contact.

5 • The Dunning Strategy

"Dunning" = the process of methodically reminding customers to pay. Done well, it's a science of tone, timing, and consistency. Done badly, it either fails or burns relationships.

The escalation ladder (L1 → L2 → L3)

Level	Timing	Tone	Goal
L1	1+ days late	Friendly, assume they forgot	Gentle nudge, preserve goodwill
L2	10+ days late	Professional, firm, clear deadline	Create urgency, reference prior reminders
L3	30+ days late	Serious final notice, offer a path	Resolve before bad debt; offer payment plan

The principles of effective dunning

- **Escalate tone deliberately.** Too soft and they ignore you; too aggressive and you lose the customer. The ladder solves this.
- **Be consistent, not random.** Late, sporadic reminders signal that *you* don't track your own AR — which teaches customers they can stretch you.
- **Batch by customer, not by invoice.** One email covering all of a customer's overdue invoices beats five separate nags.
- **Always include a payment link.** Every extra click is another day of delay. Make paying frictionless.
- **Lead with the ask.** Amount, invoice number, and deadline up top — not buried in paragraph three.
- **Respect a cooldown.** Don't email the same customer daily. ~3 days minimum between contacts keeps you firm, not harassing.

The relationship trap: Collections isn't just a cash problem — it's a relationship problem. The goal is to get paid *and* keep the customer. Tone is how you do both.

6 • Customer Segmentation & Risk

Not every customer should be chased the same way. Master AR = treating customers by their value and their risk.

Segment	Who they are	How to chase
Strategic	High-value, long-term, relationship matters	Extra courteous tone. Protect the relationship. A phone call may beat an email.
Standard	Reliable, average accounts	Normal escalation ladder.
At-risk	History of late or partial payment	Firmer, earlier, more frequent. Consider stricter terms or upfront deposits.

Prioritisation: chase by impact, not by date

A master doesn't chase oldest-first or randomly. They chase by **recovery impact** — a blend of:

- **Amount** — bigger invoices, bigger cash impact
- **Days overdue** — older = higher risk, lower collectability
- **Customer risk** — at-risk customers need earlier attention

The 80/20 of AR: Usually ~20% of your overdue customers hold ~80% of your at-risk cash. Find those few, focus there first. This is the highest-leverage habit in collections.

Credit control (preventing the problem upstream)

The best AR teams reduce overdue invoices *before* they happen: run credit checks on new customers, set credit limits, require deposits from at-risk accounts, and make terms explicit on every invoice.

7 • Dispute Management

A dispute is when a customer contests an invoice. Handled well, it protects cash *and* the relationship. Handled badly, it does neither.

Common dispute reasons

Reason	What it means
Incorrect amount	They believe the invoice is wrong
Goods / services not received	Delivery is contested
Duplicate invoice	They were billed twice
Already paid	Payment was made but not matched
Service not rendered	Work quality or completion contested

The golden rule of disputes

Pause collections the moment a dispute is raised. Continuing to send dunning emails to a customer with a legitimate complaint is the fastest way to lose them. Investigate first, chase later.

The dispute workflow

- 1 Log it** — record the dispute and its reason immediately.
- 2 Pause** — stop automated collections on that invoice.
- 3 Investigate** — verify the claim quickly. Speed signals respect.
- 4 Resolve or reject** — fix the invoice, or explain clearly why it stands. Then resume collections.

Master insight: Many "disputes" are really just confusion or a lost invoice. Fast, friendly handling often turns a dispute into a same-week payment.

8 • The Cost of Late Payments

Late payments aren't just annoying — they have a real, calculable cost. Understanding it is what makes collections a priority instead of an afterthought.

The hidden costs of every overdue invoice

- **Opportunity cost** — cash stuck in AR can't fund payroll, inventory, or growth.
- **Cost of capital** — if you borrow to cover the gap, you pay interest on money you're already owed.
- **Bad debt risk** — the longer it's overdue, the higher the chance you never collect.
- **Labour cost** — manual chasing burns ~10 hours/week of skilled finance time.
- **Forecasting noise** — unpredictable collections make cash forecasting unreliable.

Working capital — the big picture

AR is one leg of the **cash conversion cycle** — the time between paying for inputs and collecting from customers. Every day you shave off DSO is a day of cash freed up to run and grow the business.

THE VALUE OF CUTTING DSO

Cash freed $\approx$ (DSO reduction in days $\div$ 365) $\times$ Annual Revenue

Example: cutting DSO by 15 days on \$10M revenue frees ~\$411,000 in cash — without a single new sale.

This is the pitch a master CFO makes to the board: "I can free up \$400K in cash this quarter by improving collections — no new revenue required." That's the power of AR mastery.

9 • Industry Benchmarks

Numbers only mean something in context. Here's roughly where healthy B2B companies sit. Use them as targets, not gospel — every industry differs.

Metric	Great	Healthy	Warning
DSO	< 30 days	30–45 days	> 60 days
CEI	90%+	80–90%	< 80%
Overdue % of AR	< 15%	15–30%	> 40%
Bad Debt Ratio	< 0.5%	0.5–1.5%	> 3%
AR Turnover	> 12×/yr	8–12×/yr	< 6×/yr

DSO varies by industry

Sector	Typical DSO
SaaS / software (annual billing)	30–50 days
Professional services / consulting	45–60 days
Manufacturing / distribution	45–65 days
Staffing / recruitment	40–55 days
Construction / engineering	60–90+ days

How to use benchmarks: Compare yourself to your own past first (is the trend improving?), then to your industry. Beating your own last quarter matters more than any external number.

10 • The DSO Reduction Playbook

The exact sequence a master uses to bring DSO down. Work it top to bottom.

- 1 Measure your baseline.** Calculate DSO, CEI, and Overdue %. You can't improve what you don't track.
- 2 Find the gap.** Compare DSO to Best Possible DSO. The difference is pure late-payment drag — your target.
- 3 Invoice faster and cleaner.** Send invoices immediately, with correct details and clear terms. Late or wrong invoices are the #1 self-inflicted DSO cause.
- 4 Make paying frictionless.** Add a one-click payment link to every invoice and reminder.
- 5 Automate consistent dunning.** L1/L2/L3 reminders, on schedule, every time — no human forgetting. This is the biggest single lever.
- 6 Prioritise by impact.** Chase the 20% of customers holding 80% of at-risk cash first.
- 7 Segment your tone.** Courteous for strategic accounts, firm for at-risk ones.
- 8 Resolve disputes fast.** A dispute sitting for weeks is cash frozen. Speed unlocks it.
- 9 Tighten terms upstream.** Move new contracts to shorter terms; require deposits from risky accounts.
- 10 Review the trend monthly.** Track DSO and CEI every month. Reward improvement. Iterate.

The compounding effect: Steps 3–5 alone (fast clean invoices + payment links + automated dunning) typically cut DSO by 20–30% within a quarter. That's exactly the engine DataByt automates for you.

11 • The 7 Deadly AR Mistakes

Avoid these and you're ahead of most finance teams.

- 1 Chasing inconsistently.** Random, late reminders teach customers they can stretch you. Consistency is everything.
- 2 Waiting too long to start.** The first reminder on day 30 instead of day 1 quietly doubles your DSO.
- 3 Same tone forever.** Either always-soft (ignored) or always-harsh (relationship damage). Escalate deliberately.
- 4 No payment link.** Making customers hunt for how to pay adds days of delay for zero reason.
- 5 Treating all customers the same.** Your strategic accounts and your at-risk accounts need opposite approaches.
- 6 Ignoring disputes.** A festering dispute is frozen cash *and* a dying relationship.
- 7 Tracking revenue, not collections.** Celebrating sales while ignoring whether you got paid is how profitable companies go broke.

The meta-mistake: Treating AR as admin instead of strategy. AR is where your earned cash lives or dies. Treat it with the seriousness you give to sales.

12 • Glossary

Accounts Receivable (AR) — Money owed to you by customers for delivered goods/services, not yet paid.

Aging report — A breakdown of unpaid invoices grouped by how overdue they are.

Bad debt — Receivables deemed uncollectable and written off.

Best Possible DSO (BPDSO) — Your DSO if every customer paid exactly on time.

CEI (Collection Effectiveness Index) — % of collectible cash actually collected in a period. Target 80%+.

Cash conversion cycle — Time between paying suppliers and collecting from customers.

Credit terms / Net 30 — The agreed window a customer has to pay (e.g. 30 days).

DSO (Days Sales Outstanding) — Average days to collect payment after a sale. The headline AR metric.

Dunning — The systematic process of reminding customers to pay overdue invoices.

Escalation (L1/L2/L3) — Increasing firmness of reminders as an invoice ages.

Overdue % of AR — Share of total receivables that is past due.

Payment terms — The conditions of payment stated on an invoice.

Working capital — Cash available to run day-to-day operations; heavily affected by AR.

Write-off — Formally recording a receivable as a loss.

YOU'VE MASTERED THE SYSTEM

You now understand AR better than most CFOs. The discipline is simple to state, hard to do consistently — which is exactly why DataByt automates it.

Knowledge runs the strategy. DataByt runs the execution.